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14. A furniture costing ` 5,000 was purchased on 1.1.2016, the installation charges being `1,000. The furniture is to be depreciated @10% p.a. on the diminishing balance method. Pass journal entries for the first two years.

(**Answer**: Amount of depreciation I year ` 600; II year ` 540)

15. A firm acquired a machine on 1st April 2015 at a cost of ` 50,000. Its life is 6 years. The firm writes off depreciation @ 30% p.a. on the diminishing balance method. The firm closes its books on 31st December every year. Show the machinery account and depreciation account for three years starting from 1st April 2015.

(**Answer**: Amount of depreciation: 2015: ` 11,250; 2016: ` 11,625; 2017: ` 8,138; Balance in machinery a/c on 31-12-17 ` 18,987)

16. A firm purchased a machine for ` 1,00,000 on 1-7-2015. Depreciation is written off at 20% on reducing balance method. The firm closes its books on 31st December each year. Show the machinery account upto 31-12-2017.

(**Answer**: Amount of depreciation: 2015: ` 10,000; 2016: ` 18,000; 2017: ` 14,400; Balance in machinery a/c on 31-12-17 ` 57,600)

17. On 1st October 2014, a truck was purchased for ` 8,00,000 by Laxmi Transports Ltd. Depreciation was provided @ 15% p.a. under diminishing balance method. On 31st March 2017, the above truck was sold for `5,00,000. Accounts are closed on 31st March every year. Find out the profit or loss made on the sale of the truck.

(**Answer**: Amount of depreciation: 2014-15: ` 60,000; 2015-16: ` 1,11,000; 2017: ` 94,350; Loss on sale ` 34,650)

18. On 1st January 2015, a second hand machine was purchased for ` 58,000 and ` 2,000 was spent on its repairs. On 1st July 2017, it was sold for ` 28,600. Prepare the machinery account for the years 2011 to 2013 under written down value method by assuming the rate of depreciation as 10% p.a. and the accounts are closed on 31st December every year.

(**Answer**: Amount of depreciation: 2015: ` 6,000; 2016: ` 5,400; 2017: ` 2,430; Loss on sale ` 17,570)

19. Raj & Co purchased a machine on 1st January 2014 for ` 90,000. On 1st July 2014, they purchased another machine for ` 60,000. On 1st January 2015, they sold the machine purchased on 1st January 2014 for ` 40,000. It was decided that the machine be depreciated at 10% per annum on diminishing balance method. Accounts are closed on 31st December every year. Show the machinery account for the years 2014 and 2015.

(**Answer**: Amount of depreciation: 2014: `12,000; 2015: ` 5,700; Loss on sale ` 41,000; Balance in machine a/c on 31-12-14 `1,38,000; on 31-12-15 ` 51,300).